WORLD BANK GROUP

Executive Summary

From Farm to Factory: Building Skills for India's Agri-Food Processing Workforce

Inputs for India AgriConnect
Skills, Extension & Research Component

South Asia People team

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Objectives

- To profile India's agri-food processing workforce, including workers' socioeconomic characteristics, geographic distribution, occupations, education levels, and training backgrounds.

- To identify high-employment occupations and locations where skilling investments could have the greatest scale, relevance, and potential impact.

- To inform more targeted skills interventions by identifying priority food-processing occupations and locations with strong demand for food-processing skills.

Why do food processing skills matter for India?

India’s food processing sector is still small in employment terms, but it sits exactly where India’s jobs agenda needs momentum: between agriculture, manufacturing, and local non-farm opportunities.

1. **Agriculture base** — Large rural workforce
2. **Processing firms** — Private, wage-oriented sector
3. **Priority occupations** — Concentrated in a few occupations
4. **Training pathways** — Practical + employer-led skills
5. **Better jobs** — Higher productivity and earnings

Do not “train more workers” in general. Instead, use labor-market evidence to identify the occupations, locations, and training models most likely to support growth in food processing.

Main messages

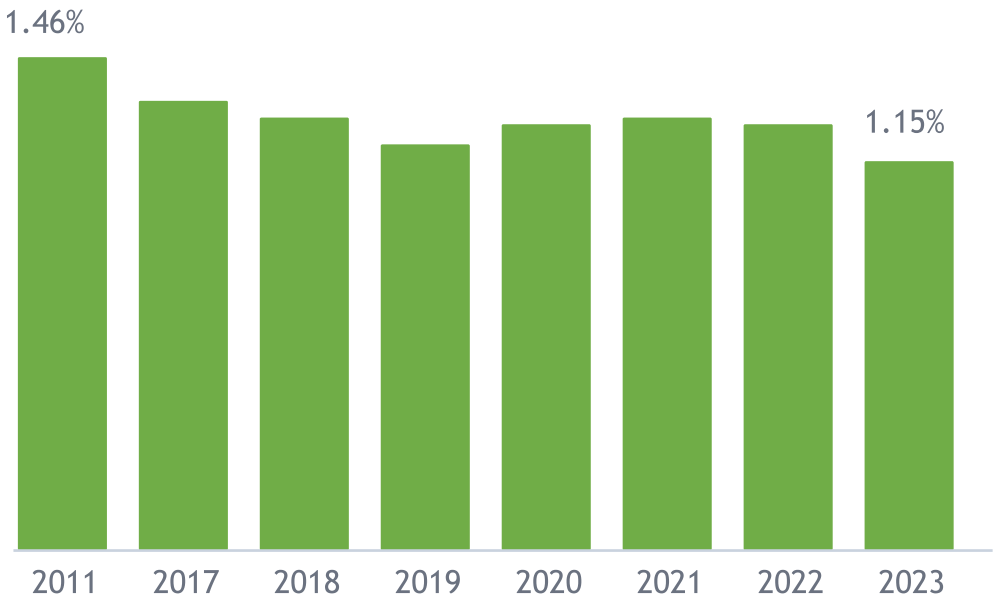
~6m	78%	~80%	56%	90%
workers in food processing, about 1.2% of total employment	male workers; broad age profile	have secondary education or less	report some vocational training	of employment concentrated in 22 occupations

- Food processing is a small but strategically important bridge between agriculture, manufacturing, and non-farm jobs.
- The food processing workforce profile points to practical, modular training—not long academic pathways—as the core design principle.
- Training already matters, but on-the-job training is limited; employer-led models are likely underused.
- Geographic targeting should distinguish between states with high specialization and states with the largest worker numbers.

What the data say about scale and strategic relevance?

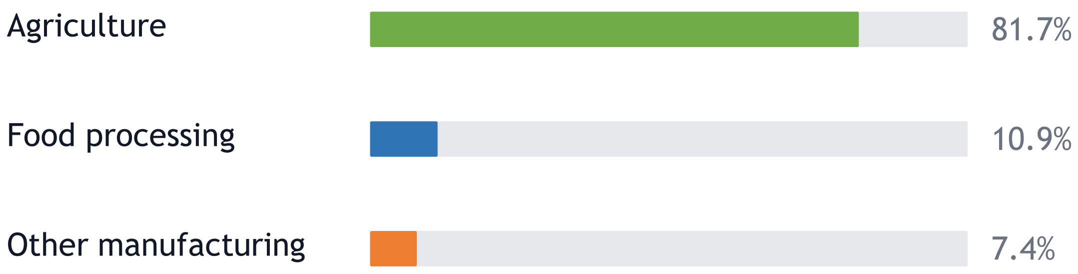
Food processing is small, but it is linked to structural transformation

Employment share over time



The food processing employment share declined modestly from about 1.5% in 2011 to 1.2% in 2023/24.

Agribusiness composition, 2023/24



Most agribusiness employment is still in primary agriculture. Food processing accounts for only about 11% of agribusiness jobs, which means the growth opportunity is large but still nascent.

Who are food processing workers?

A workforce that calls for accessible, practical, and on-the-job training skilling

78% male

60% rural

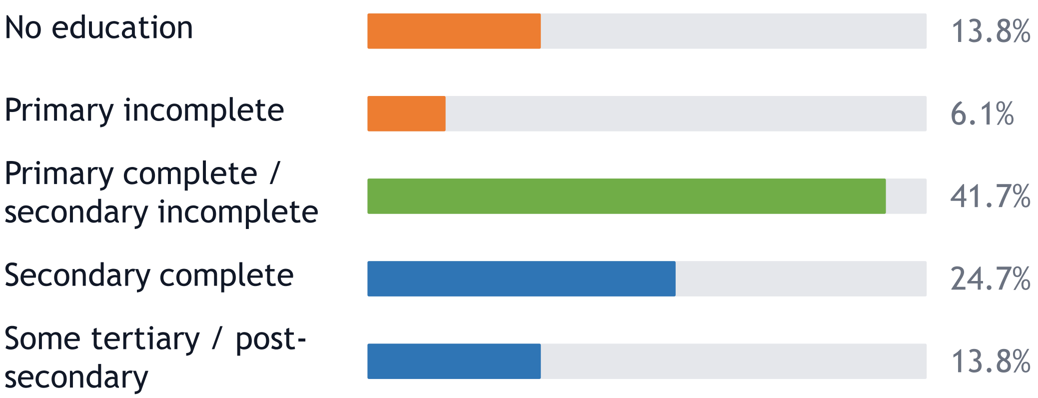
98% private sector

25% low-skilled occupations

60% medium-skilled occupations

16% high-skilled occupations

Education profile of food processing workers



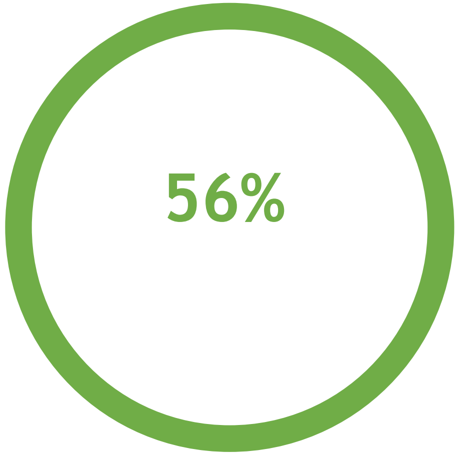
Implication for design

- Training needs to be short, practical, and accessible to workers with limited formal education.
- The broad age profile of food processing workers means both new entrants and incumbent workers matter.
- The presence of medium- and high-skilled roles creates room for progression into technical, supervisory, and managerial jobs.

Training already matters—but on-the-job training looks underused

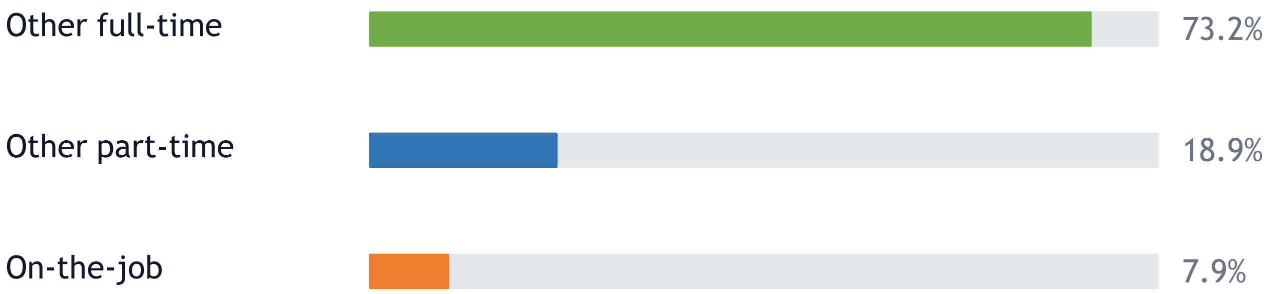
Vocational training is common, yet formal training is rarely on-the-job

Training status



of food processing workers report some vocational training

Type of formal vocational training

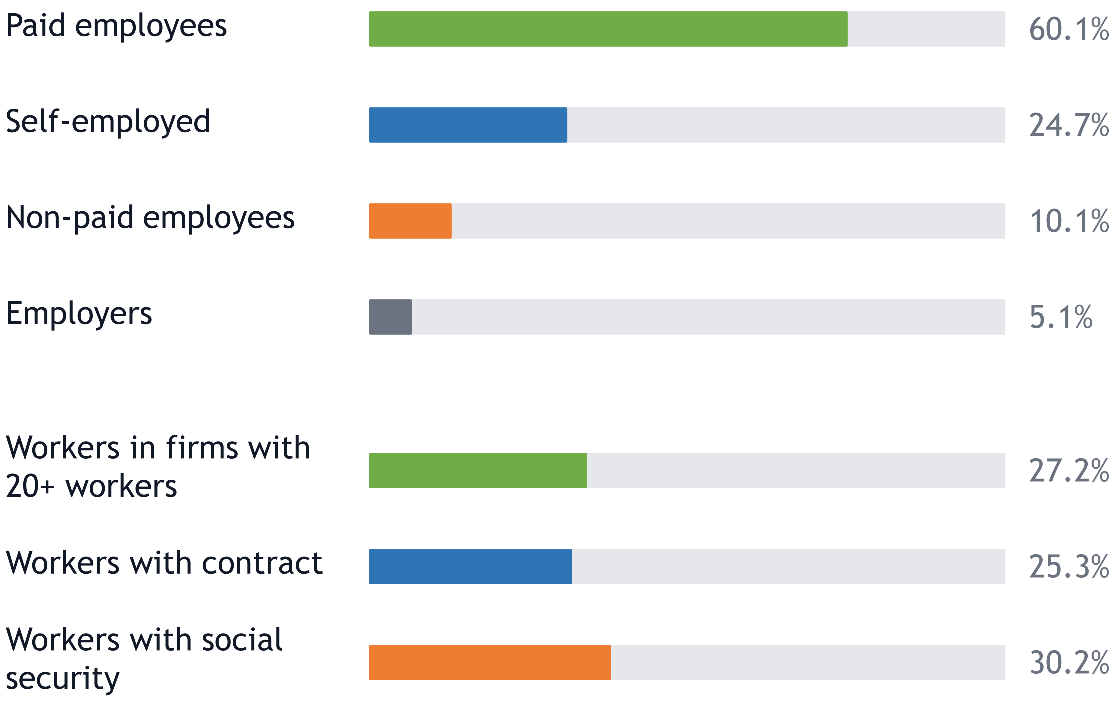


Why this matters?

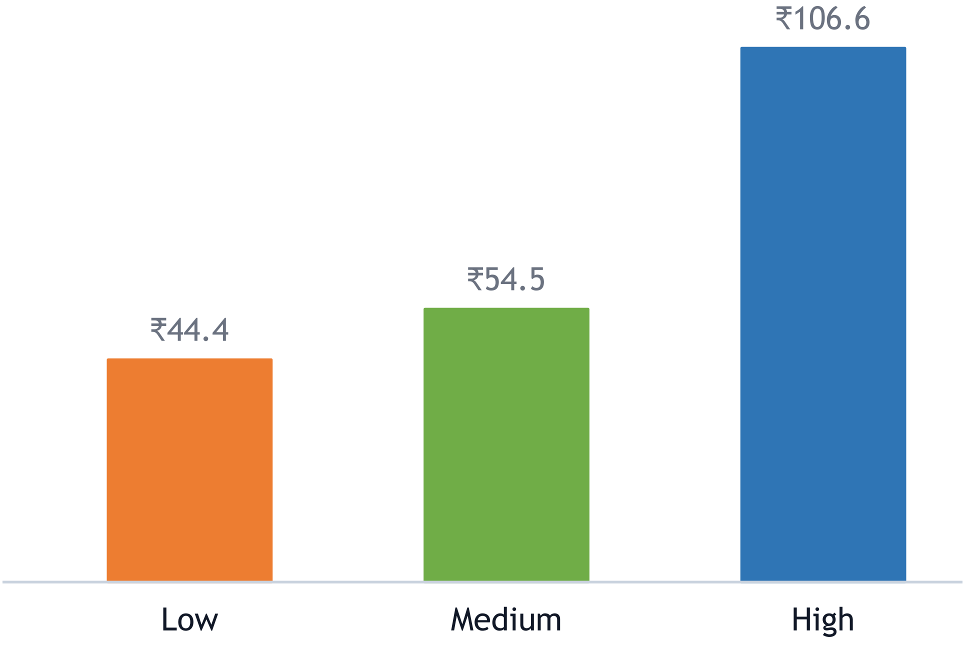
For a sector where skills are learned through practice, the low share of formal on-the-job training suggests scope to strengthen apprenticeships, employer-led training, and structured on-the-job learning.

Food processing offers a more wage-oriented platform, but job quality remains uneven

The sector has more wage employment and is concentrated in larger firms, yet contracts and social protection remain limited



Earnings rise strongly with skill level

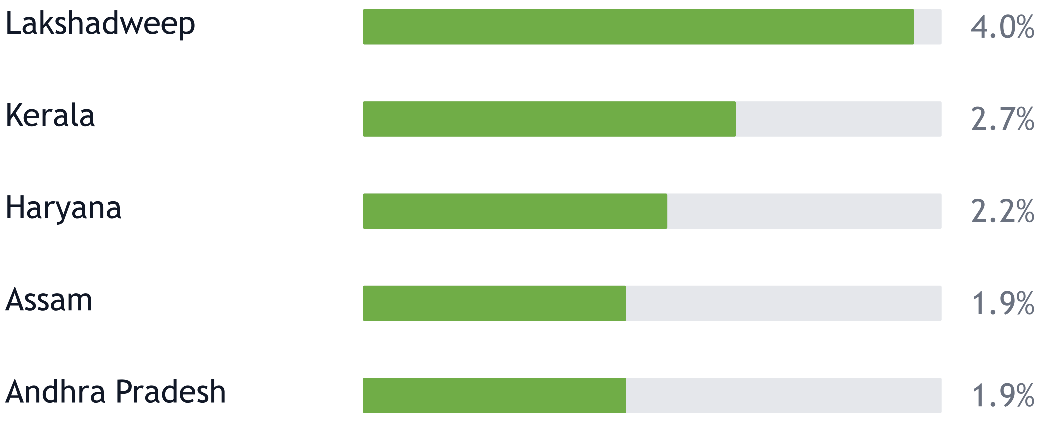


Average hourly wages are lower in food processing (Rs. 60.3) than in other sectors (Rs. 68.4), but higher-skilled food processing roles pay almost twice as much as medium-skilled roles.

Where to target? Specialization and scale point to different geographies

A targeting strategy should distinguish between high-share states and high-worker-count states

High employment share / specialization



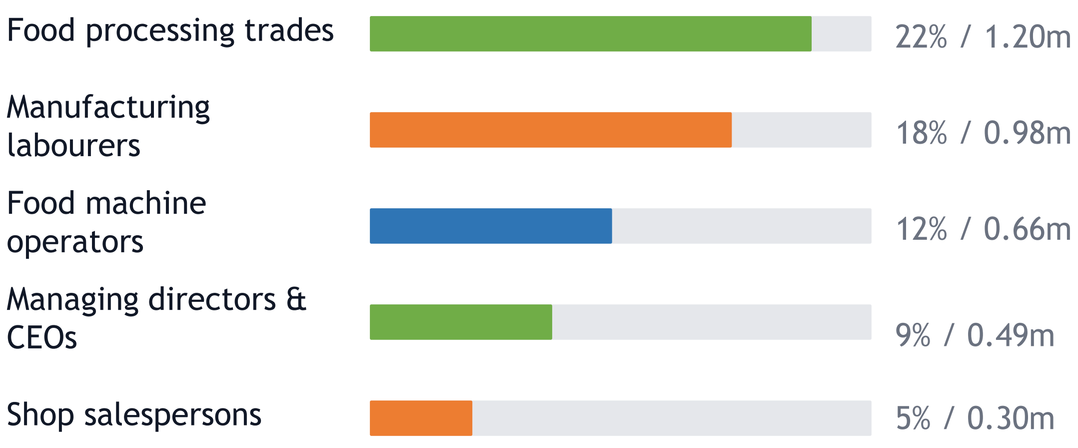
Large absolute workforce / scale

States with high specialization may be useful for locally tailored pilots, while states with large worker numbers offer the largest scale for skilling interventions.

Prioritization can start with a small number of occupations

The top 22 occupations account for 90.3% of food processing employment

Largest food processing occupation groups



What does this mean for India?

- Start with occupations that combine high employment, strong demand signals, and clear FICSI Qualification Pack alignment.
- Build job profiles that connect tasks, skills, and training requirements.
- Use the profiles to inform consultations with employers, sector skill councils, and training providers.

This approach keeps the work operational: it does not try to solve all skilling needs at once but focuses on priority occupations where training design can influence many workers.

Next analytical step: combine supply and demand evidence

Use PLFS, online job vacancy data, and FICSI qualification packages to produce food processing job profiles for selected occupations

Supply side
PLFS

Who works in the sector?
Where are they?
What education and training do they have?

Demand side
Lightcast

Which occupations and skills are being demanded in online postings?
What are employers asking for?

Training standards
FICSI QPs

What qualification packages already exist?
What theory, practical, employability, and OTJ hours are expected?

Output: Job profiles developed for priority food processing occupation to inform design, consultations, and validation exercises

These job profiles can help answer: What skills are needed? What delivery training mechanisms are most adequate? Which employers and locations should be engaged first?